

Description	Bull Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Percentage reaching 2× height	60%	28%	39%
Percentage reaching 3× height	49%	16%	25%

Measure rule, targets. The first tactic is to determine the predicted price target using the measure rule. The rule first finds the height of the rectangle by subtracting the lowest low from the highest high. In essence, just subtract the value of the two trendlines from each other.

Let's use [Figure 51.5](#) as an example of this. The top trendline is at 12.44, and the bottom one is at 11. The difference, 1.44, is the formation height. Add the height to the value of the top trendline to get the upward breakout target (13.88) and subtract it from the value of the lower trendline to get the downward breakout target (9.56).

The bottom portion of the table shows how often this method works. For example, the figure shows the rectangle in a bull market with an upward breakout. Using the full height (which we did), price will reach the target 79% of the time, on average. Cut the height in half and add it to the top trendline for a closer target that will see price reach it 90% of the time.

Once you have selected your target, compute the distance from the nearest rectangle trendline to the target and divide by the current price. Compare the result to the values listed in [Table 51.3](#).

For example, if the distance is \$5 and the breakout price (the current price) is \$50, that's a 10% move. For upward breakouts in bull markets, [Table 51.3](#) says that 28% will fail to see price rise more than 10%. That sounds reasonable for a target location.

Wait for breakout. Since you cannot predict the breakout direction with complete accuracy (price tends to break out upward in bull markets and downward in bear markets), wait for the breakout before investing. Place the trade after price *closes* outside the rectangle trendline, and then trade with the trend. Using the closing price helps avoid false breakouts, but it also means you'll be initiating a trade late.